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KSE-100 V

176,094

▲ 0.31% Fri · +546
pts

S&P 500 V

▲ **0.7%**

Nasdaq +1.0% ·
Dow +0.53%

US 10Y / 2Y V

4.75 / 4.28

▲ · hawkish hold

BRENT / WTI V

\$88.5 / \$85.0

July +20% ·
Hormuz watch

GOLD V

\$4,054

–1% · silver \$58.26

USD/PKR V

278.00

interbank · steady

01 Five Things You Need To Know To Start Your Day

PSX ENDS A WILD WEEK GREEN

After a volatile, oil-shocked week, the **KSE-100** posted a slim green finish on Friday — up **546 points (+0.31%)** to **176,094**, touching an intraday high of 177,109 before easing, as buyers returned to commercial banks, investment companies, cement and textiles ([Express Tribune](#), [Mettis Global](#)). Volume was ~210m shares with breadth positive at 62 advancers to 36 decliners. **[V]** Sentiment: **cautiously firmer**.

OIL'S 20% JULY MELT-UP

The week's dominant force was crude: **WTI climbed ~1% Friday to about \$85** and **Brent to ~\$88.5**, capping a **>20% surge in July** on Strait-of-Hormuz disruption and Middle-East risk ([FXDailyReport](#), [Forbes](#)). The spike pressured Pakistan's import bill mid-week before Hormuz exports began to recover. **[V]** Sentiment: **import-cost headwind**.

WALL STREET CAPS JULY STRONG

US stocks closed July on the front foot: the **Nasdaq rose ~1.0% to 25,374**, the **S&P 500 added ~0.7% to 7,490** and the **Dow gained 277 pts (+0.53%) to 52,485** — its fourth straight winning month — led by an **Amazon surge** on blowout cloud results ([Washington Post/AP](#), [CNBC](#)). **[V]** Sentiment: **risk-on, earnings-led**.

FED FIRMER-FOR-LONGER

The rate backdrop stays restrictive: the **US 10-year yield ended at ~4.75%** and the 2-year at ~4.28% after last week's hawkish FOMC hold, keeping the dollar bid ([Advisor Perspectives](#)). Precious metals slipped ~1% into the higher-yield tape — **gold ~\$4,054, silver ~\$58.26** ([JM Bullion](#)). **[V]** Sentiment: **hawkish tilt**.

RUPEE & RATES HOLD THE LINE

The **rupee held near ~278 interbank** despite the oil spike and a firmer dollar ([HamariWeb](#)). The **SBP policy rate stays at 11.50%** after last week's third consecutive pause, with **June CPI at 11.1%** and July inflation seen ticking up to ~9.1% on the energy pass-through ([Express Tribune](#)). **[V]** Sentiment: **stable footing**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Macro headwinds / tailwinds: Pakistan opens August after a turbulent week in which an **oil-price shock** — crude up more than 20% in July on Strait-of-Hormuz tensions — dragged the tape mid-week before Friday's rebound. The **KSE-100 closed Friday at 176,094 (+0.31%, +546 pts)**, a slim green finish that steadied nerves after sharp swings, with commercial banks, investment companies, cement and textiles doing the heavy lifting and breadth positive at 62:36 [V]. The domestic anchors remain constructive: the **SBP held the policy rate at 11.50%** for a third meeting, **June CPI eased to 11.1%**, and the IMF framework keeps external visibility intact — though **July inflation is expected to tick up toward ~9.1%** as the energy pass-through bites. The swing factor is imported: sustained high oil lifts the import bill and imported-inflation risk, while a firmer US dollar caps rupee room. With rates anchored near 278 and earnings season live, the market is consolidating with an upward bias — provided oil cools.

- **PSX rebounds as buying returns after days of selling** — the KSE-100 closed at 176,094 (+546 pts, +0.31%) on ~210m shares; banks, investment companies, cement and textiles led the recovery.
- **Geopolitics, oil spike drag PSX down mid-week** — the Hormuz-driven crude surge weighed on the index earlier in the week before Friday's bounce restored a green close.
- **SBP keeps policy rate at 11.50%** — a third straight hold; the MPC cites easing CPI and an improving external account, but flags energy-driven price pressure ahead.

B. GCC & Middle East

OPEC+ leans into supply as the Gulf's non-oil engine carries growth. With Hormuz exports recovering, **OPEC+ approved a further output increase for August** — the fifth consecutive monthly hike as the group keeps unwinding 2023-era cuts ([Rigzone](#), [Al Jazeera](#)). Saudi Arabia's **August target rises to ~10.42m bpd**, a supply cushion that should temper the July price spike into autumn. The non-oil pivot remains the structural story: **Saudi non-oil PMI printed 53.3** (a four-month high) while the **UAE eased to 50.8** amid regional disruption, with activity expected to accelerate through H2 [V] ([AGBI](#)). PIF-anchored Vision-2030 mega-projects — NEOM, Red Sea, Diriyah, New Murabba — keep the diversification deal pipeline open for Gulf-focused sponsors and Pakistani corporates.

- **OPEC+ boosts production further for August** — the fifth consecutive monthly increase; Saudi Arabia's target rises to ~10.42m bpd as Hormuz exports recover, adding a supply cushion.
- **Saudi Arabia bucks slowdown while war weighs on Gulf PMI** — Saudi non-oil PMI at 53.3 leads the region; UAE at 50.8 stays in expansion despite softer demand.

C. Global Intelligence

Wall Street & global hubs: US equities shut July with momentum — the **Nasdaq +1.0% to 25,374**, the **S&P 500 +0.7% to 7,490**, and the **Dow +0.53% to 52,485**, its **fourth straight winning month**, powered by an **Amazon-led mega-cap rally** on strong cloud earnings [V] ([Washington Post/AP](#)). But the rates picture stays firm-for-longer: the **10-year sits at ~4.75%** and the 2-year at ~4.28% after the Fed's hawkish hold, keeping the dollar bid and precious metals soft — **gold ~\$4,054, silver ~\$58.26 (both -1%)** ([Advisor Perspectives](#)). The set-up into August: resilient earnings versus a Fed in no hurry to cut and an oil market whipsawed by Gulf geopolitics — a mix that keeps EM assets on a tighter leash.

- **S&P 500 closes higher as Amazon surges; Dow posts fourth straight winning month** — blockbuster cloud earnings lifted the tape and closed out a strong July for US equities.

- **Treasury yields snapshot: 10Y ~4.75%, 2Y ~4.28%** — the hawkish-hold backdrop keeps yields elevated and the dollar bid, tightening the screw on EM currencies.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	SBP holds policy rate at 11.50% — a third consecutive pause; the MPC balances easing headline CPI (11.1% in June) against energy-driven pressure that could lift July inflation toward ~9.1%.	Banks, Equities, Leveraged Borrowers, Autos, Cements	Wins: equities and rate-sensitive cyclicals that gain from policy stability; banks keep NIM visibility. Losses: savers and anyone positioned for near-term cuts — easing stays deferred while the oil-fed inflation risk lingers. The hold is priced; the patient tone underwrites consolidation, not a re-rating.
GCC — Regional	OPEC+ approves further August output increase — a fifth straight monthly hike as Hormuz exports recover; Saudi target rises to ~10.42m bpd, adding supply to a July-spiked market.	Energy, Refiners, Oil Importers, Downstream, Sovereign Funds	Wins: oil importers (Pakistan included) and downstream/consumers if the extra barrels cool prices; refiners on wider throughput. Losses: producer budget-breakevens if crude retreats from July highs. Net for Pakistan: a welcome pressure valve on the import bill — provided Gulf tensions stay contained.
Global — United States	Fed's hawkish hold keeps rates firm-for-longer — the FOMC holds while signalling patience; the 10-year sits at ~4.75% and the dollar stays bid into August.	Bonds, USD, Emerging Markets, Rate-sensitive Equities, Gold	Wins: the US dollar and savers; short-duration credit. Losses: rate-cut hopefuls, long-duration bonds, gold at the margin, and EM currencies — the rupee among them — as a firmer dollar and a ~4.75% 10-year tighten global financial conditions.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

175,000

first floor; deeper support at the 173,500 gap zone

PIVOT EST.

176,094

Friday's close — holding it keeps the recovery intact

RESISTANCE EST.

177,100

Friday's intraday high; then the 177,700 recent peak

Desk stance — neutral-to-constructive; a recovering tape that lives and dies by the oil print.

Friday's slim green close steadied a volatile week, leaving the market **consolidating near 176,000 with an upward bias [V]**. Supportive: a strong Wall Street July close and a stable local macro (SBP at 11.50%, CPI easing to 11.1%). Offsetting: a **>20% July oil spike** that lifts the import bill and a **hawkish Fed** keeping the 10-year at ~4.75% — with OPEC+'s August supply increase the pressure valve to watch. Positioning: banks offer the cleanest earnings visibility; textiles and cement caught a Friday bid; E&P is the two-way geopolitics hedge. Keep leverage modest; watch Hormuz and the rupee near 278. **Levels are indicative desk estimates, not recommendations.**

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